

Founding Offer — Counsel Review Packet

Prepared for review by qualified securities / FTC / consumer-finance counsel. This is NOT legal advice. A plain-language description of the founding pre-launch advertiser offer and the design choices made to reduce risk, so counsel can assess it efficiently. **Nothing launches and no money is collected until counsel has reviewed the offer, its mechanics, and every piece of marketing copy.** Companion to `CURRENT-FOUNDING-OFFER` (plain description) and `FOUNDING-OFFER-DESIGN-AND-BUILD` (mechanics).

1. What the offer is

A limited **Founding Advertiser** introductory offer on a closed-loop, 18+ retail rewards / survey-rewards marketplace. It bundles two deliberately separate things:

1. **An advertising product** sold on its own merits — a stated **200,000 impressions/year** for a **4-year term**, priority placement, at a locked introductory price (**\$13,000/year, billed \$1,000 every 4 weeks across 13 cycles**, non-refundable in the default presale model). Delivery is **capacity-paced** — guaranteed by amount, not by date.
2. **A membership perk** — the member keeps **100% of what they themselves earn** from third-party surveys for a 4-year window, paid only as **non-cashable Site Cash**. A better **share** — no dollar amount promised, no cap, not tied to or a return of the advertising price; reverts to 75% after the window / for post-close members.

Included (delivered features, not a financial return): premium membership, AI campaign manager + concierge, AI creative, A/B testing, analytics, sentiment insights, a **\$2,000 Site Cash grant** (non-cashable, released over the term), and **every tier-gated feature at the highest (Tier 3 / Unlimited) capability level, free** (`FOUNDING_MAX_SCALE_ENABLED`) — a capability grant only: no cash/credit/monetary value, no added ad-impression volume, no revenue/ROI representation. **Category exclusivity** per founder is a scarcity/positioning perk, not a financial promise. At the 200,000-advertiser cap the offer closes to a standard Tier 1 at +30% (\$16,900); founders are grandfathered.

2. Mechanics that carry the most legal weight

1. **Non-refundable presale** — the \$13,000 (billed across 13 cycles) is not escrowed and not refundable in the default model; a prominent non-refundable risk warning + explicit acceptance checkbox are recorded to an append-only consent ledger.
2. **Capacity-paced delivery, never ROI** — guaranteed by **amount, not date**; the platform keeps delivering at no extra charge until the full promised amount is delivered; the guarantee is **advertising delivered**, not revenue, sales, sign-ups, or ROI. Disclosed clear-and-conspicuously and consent-logged.
3. **Survey perk is a SHARE** on the member's **own** labor, paid as store credit — no promised amount, no cap, separate from the advertising price.
4. **Store-credit grant is non-cashable** — the \$2,000 Site Cash grant is closed-loop, spendable only on-site, framed as a delivered perk, not a dollar return.
5. **No guaranteed return; no shortfall charge.**

3. Issues for counsel — and how the design addresses each

(a) Securities / investment contract (Howey). The perk is a variable earning **share** on the buyer's own labor (weakening "profits from the efforts of others"), paid only as non-cashable store credit, no cap, no recoup framing; the advertising is an ordinary product sale. *Confirm:* investment-contract risk; that "keep 100% of your own survey earnings" is clean as a rate/loyalty benefit; the overall impression where price sits near the perk/grant.

(b) FTC earnings claims / Business Opportunity Rule. No income projections; results are hypothetical until substantiated; value framed as advertising delivered. *Confirm:* the marketing copy avoids an implied earnings/biz-opp claim.

(c) Delivery guarantee. Advertising delivered, amount-not-date, deliver-until-met, no ROI. *Confirm:* the framing and disclosure are sufficient and conspicuous.

(d) Crowdfunding / pre-sale + two-phase use-of-funds. Non-refundable pre-sale to build-then-deliver. The use-of-funds is **two-phase: Phase 1** — the funds go to **business expenses** (any lawful cost of operating and growing the business, including acquiring the ~400,000-user audience) **until both user milestones are met; Phase 2** — once both are met, the funds are the owner's to use at its **sole discretion for any lawful purpose** (no longer limited to business expenses). *Confirm:* pre-sale obligations; whether any portion must be refundable/escrowed; whether the **Phase-1 business-expenses restriction** (looser than a specific-purpose earmark, but still a restriction) bears on escrow/custodial

treatment; record-keeping and reserve-to-deliver standard.

(e) Money transmission / stored value. Consumer balances are **closed-loop, non-cashable** Site Cash; presale proceeds are the operator's revenue, not held for the customer. *Confirm:* no state stored-value / money-transmitter statute applies to the store credit or the proceeds in target states.

(f) Consumer protection / non-refundable. Prominent non-refundable disclosure + explicit consent; **no negative-option billing on the paid path** as built; upsells are optional. *Confirm:* the disclosure suffices in target states.

(g) Free trial → auto-conversion (negative option / ROSCA / FTC Negative-Option Rule / state auto-renewal). A free-trial entry auto-converts to the paid plan, built as a *compliant* negative option with six safeguards: (1) recurring 13-cycle billing, **not a \$13k lump on silence**; (2) charge fires **only after value is delivered** (the audience/launch milestone); (3) the auto-charge term is in a **signed B2B order form**; (4) **standalone, un-prechecked, logged consent** + confirmation email; (5) **advance reminders (7/3/1 days) with one-click cancel**; (6) a **post-conversion refund window** (30 days). Controlled by `FOUNDING_FREE_TRIAL_*` flags, **default OFF**. *Confirm:* whether the buyer is a **business, not a consumer**, under ROSCA and each state auto-renewal law (sole proprietors may blur this — a potentially decisive risk reducer); whether the six-safeguard structure satisfies ROSCA + the FTC Negative-Option / click-to-cancel Rule + state ARLs (California in particular); the disclosure/consent copy, reminder cadence, cancellation flow, and refund-as-cash-vs-credit; and sign-off before any flag is enabled.

(h) Two-phase price. Founding \$13,000 → standard Tier 1 \$16,900 (+30%) at the cap; founders grandfathered; the cap owes nothing to earlier buyers. *Confirm:* the two-tier price presentation is clean.

4. The two launch gates

Full delivery is gated on reaching **both** 200,000 founding advertisers **and** a separate 200,000 premium-user pool (~400,000 users total). The gate governs **delivery**, not a refund (non-refundable presale); under escrow/hybrid the refundable portion flags for refund if a deadline passes with either gate unmet.

5. What is intentionally NOT in the offer

No guaranteed return / recoup / return-of-capital; no stated earnings amount; no promised delivery date or ROI; no consumer-credit/debt; no mandatory recruitment (referrals accelerate, never required); no cash-out of Site Cash; no auto-charge for an earnings shortfall.

6. Operator controls counsel should know exist

`FOUNDING_MAX_SCALE_ENABLED`, `FOUNDING_CATEGORY_EXCLUSIVITY`, `FOUNDING_LAUNCH_MILESTONE_PREMIUM_USERS`, `FOUNDING_DISCLOSURE_COPY`, `FOUNDING_FUNDS_MODEL` (presale / escrow / hybrid), and `FOUNDING_FREE_TRIAL_*` (default OFF). Money / identity / legal actions are permanently human/counsel-gated, with a global kill switch.

7. The specific asks for counsel

1. Securities / Howey posture (§3a).
 2. FTC earnings-claim / biz-opp posture and marketing copy (§3b).
 3. Delivery-guarantee framing + disclosure (§3c).
 4. **Two-phase use-of-funds** — Phase-1 business-expenses restriction vs. escrow/custodial treatment; pre-sale obligations; reserve-to-deliver standard (§3d).
 5. Money-transmission / stored-value across target states (§3e).
 6. Consumer-protection / non-refundable disclosure (§3f).
 7. **Free-trial auto-conversion** — business-vs-consumer status; ROSCA + FTC + state ARL compliance; the disclosure/consent/reminder/cancel/refund design; sign-off before enabling (§3g).
 8. Two-tier price presentation (§3h).
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Not legal advice; prepared for counsel review. Related: `CURRENT-FOUNDING-OFFER`, `FOUNDING-OFFER-DESIGN-AND-BUILD`, `FOR-YOUR-ATTORNEY.md`.